

Dependency theory

Most economists believe that trade between countries is 'win-win'. Dependency theory, which emerged after the Second World War, was a radical alternative approach. Its central idea was that trade between developed and developing countries is inherently unequal and exploitative. Rich countries buy raw materials from poor countries to fuel manufacturing, producing goods that are traded mainly with other developed nations. Investment in poor countries by rich ones tends to exploit rather than develop the local economy, it is argued. A related idea is that the 'terms of trade' – the imports a country can buy with its exports – often move against poor countries as the prices of raw materials fall relative to those of manufactured goods. Dependency theorists argue that the result is a 'core' of ever richer industrialized nations alongside a 'periphery' of marginalized ones falling further behind. The rise of the 'Asian Tiger' economies (see [The Asian Tigers](#)), has perhaps put paid to the dependency story, or at least suggested that there are important caveats.

